

REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS

WHY A STATUTORY REGULATOR → TRILEMMA WITH PAIRED DESIGN → INDEPENDENCE SPECTRUM → HOW CAPTURE HAPPENS LAWFULLY → TWO DIRECTIONS OF FAILURE → SIX-TEST DESIGN CHECKLIST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00

WHY A STATUTORY REGULATOR IS CREATED

WHY A STATUTORY REGULATOR IS CREATEDTECHNICAL COMPLEXITYGENERALIST DEPARTMENTS CANNOT SET OR POLICE DETAILED SECTOR RULESINDIVIDUAL LICENSING AND TARIFF DECISIONS REMOVED FROM DAILY POLITICALCONSISTENT RULE-MAKING THAT INVESTORS AND USERS CAN PLAN AGAINST

THE SAME INSULATION CREATES AN ACCOUNTABILITY PROBLEM AND A MUST REMEMBERREGULATORY GOVERNANCE SETS RULES, LICENCES, STANDARDS, MONITORING

CORE CLAIM

TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules

INSULATION → individual licensing and tariff decisions removed from daily political direction

MECHANISM

PREDICTABILITY → consistent rule-making that investors and users can plan against

COST → the same insulation creates an accountability problem and a capture risk

CONSEQUENCE / LIMIT

MUST REMEMBER: Regulatory governance sets rules, licences, standards, monitoring,...

TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PREDICTABILITY → consistent rule-making that investors and users can plan against.

01

STAGE 01

TRILEMMA WITH PAIRED DESIGN FEATURES

TRILEMMA WITH PAIRED DESIGN FEATURESFIXED-TERM APPOINTMENTANNUAL REPORT LAID BEFORE PARLIAMENTFEE OR CESS FUNDINGAUDIT OF THE REGULATOR'S OWN ACCOUNTSTECHNICAL COMPOSITIONPOLICY DIRECTIONS IN SPECIFIED CIRCUMSTANCESSTATUTORY RULE-MAKING

CORE CLAIM

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

MECHANISM

AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CONSEQUENCE / LIMIT

AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

CORE CLAIM

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

MECHANISM

AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CONSEQUENCE / LIMIT

AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: statutory rule-making → ACCOUNTABILITY: consultation with a published response.

02

STAGE 02

INDEPENDENCE SPECTRUM

INDEPENDENCE SPECTRUMLOW ENDA MINISTRY-CONTROLLED DEPARTMENTSTRONG POLITICAL CONTROL, WEAK INSULATIONHIGH ENDFIXED TENURE, OWN FUNDING, REMOVAL FOR CAUSE, TECHNICAL COMPOSITIONNO INDIAN REGULATOR SITS AT EITHER EXTREME; THE STATUTE

COMPARE THE FORMAL GRANT WITH THE WORKING REALITY FOR

CORE CLAIM

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

MECHANISM

REALITY → no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE → compare the formal grant with the working reality for the same body

CONSEQUENCE / LIMIT

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

CORE CLAIM

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

MECHANISM

REALITY → no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE → compare the formal grant with the working reality for the same body

CONSEQUENCE / LIMIT

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03

HOW CAPTURE HAPPENS LAWFULLY

HOW CAPTURE HAPPENS LAWFULLYINFORMATION ASYMMETRYTHE INDUSTRY KNOWS THE SECTOR BETTER THAN THE REGULATORDEPENDENCE ON INDUSTRY DATA, EXPERTISE AND PERSONNEL BECOMES STRUCTURALREVOLVING DOOR, FUNDED RESEARCH AND REPEAT-PLAYER ACCESS SHAPE THE

FRAMING CAPTURETHE REGULATOR ADOPTS THE INDUSTRY'S DEFINITION OF THE PROBLEMENTRY BARRIERS DESCRIBED AS QUALITY STANDARDS; NO ILLEGALITY IS

INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

dependence on industry data, expertise and personnel becomes structural

revolving door, funded research and repeat-player access shape the agenda

framing capture: the regulator adopts the industry's definition of the problem

outcome: entry barriers described as quality standards; no illegality is needed

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03 HOW CAPTURE HAPPENS LAWFULLY

HOW CAPTURE HAPPENS LAWFULLY INFORMATION ASYMMETRY THE INDUSTRY KNOWS THE SECTOR BETTER THAN THE REGULATOR DEPENDENCE ON INDUSTRY DATA, EXPERTISE AND PERSONNEL BECOMES STRUCTURAL REVOLVING DOOR, FUNDED RESEARCH AND REPEAT-PLAYER ACCESS SHAPE THE

FRAMING CAPTURE THE REGULATOR ADOPTS THE INDUSTRY'S DEFINITION OF THE PROBLEM ENTRY BARRIERS DESCRIBED AS QUALITY STANDARDS; NO ILLEGALITY IS

INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

dependence on industry data, expertise and personnel becomes structural

revolving door, funded research and repeat-player access shape the agenda

framing capture: the regulator adopts the industry's definition of the problem

outcome: entry barriers described as quality standards; no illegality is needed

CORE CLAIM

- INFORMATION ASYMMETRY → the industry knows the sector better than the regulator
- dependence on industry data, expertise and personnel becomes structural

MECHANISM

- revolving door, funded research and repeat-player access shape the agenda
- framing capture: the regulator adopts the industry's definition of the problem

CONSEQUENCE / LIMIT

- outcome: entry barriers described as quality standards; no illegality is needed
- INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: outcome: entry barriers described as quality standards; no illegality is needed.

04

STAGE 04 TWO DIRECTIONS OF FAILURE

TWO DIRECTIONS OF FAILURE INDUSTRY CAPTURE RULES THAT SERVE INCUMBENTS AND EXCLUDE ENTRANTS MINISTERIAL CAPTURE POLITICALLY TIMED DECISIONS AND SUPPRESSED TARIFFS SHARED CORRECTIVE CONSULTATION WITH PUBLISHED RESPONSES AND REASONED ORDERS

COOLING-OFF PERIODS, IN-HOUSE CAPACITY, USER REPRESENTATION

CORE CLAIM

- INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants
- MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

MECHANISM

- SHARED CORRECTIVE → consultation with published responses and reasoned orders
- SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation

CONSEQUENCE / LIMIT

- INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants
- MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation.

05

STAGE 05 SIX-TEST DESIGN CHECKLIST

SIX-TEST DESIGN CHECKLIST 1 STATUTORY MANDATE WHAT EXACTLY IS IT EMPOWERED TO DO, AND BY 2 APPOINTMENT AND REMOVAL WHO SELECTS, ON WHAT CRITERIA, CAN REMOVAL BE ARBITRARY 3 FUNDING DOES THE MONEY COME FROM A SOURCE THE MINISTRY 4 RULE-MAKING

1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act

2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

3 FUNDING → does the money come from a source the ministry or the industry

4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal

CORE CLAIM

- 1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act
- 2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

MECHANISM

- 3 FUNDING → does the money come from a source the ministry or the industry controls
- 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal

CONSEQUENCE / LIMIT

- 5 ENFORCEMENT DUE PROCESS → notice, hearing, reasoned order, proportionality, no bias
- 6 REVIEW AND REPORTING → appellate route and reporting to the legislature

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal.

06

STAGE 06 COMPETITION REGULATOR CARD

COMPETITION REGULATOR CARD PARENT STATUTE THE COMPETITION ACT, 2002 ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT OFFICIAL PURPOSE

AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CORE CLAIM

PARENT STATUTE → the Competition Act, 2002

FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

MECHANISM

APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CONSEQUENCE / LIMIT

BOUNDARY → no case, party, penalty amount or order date is asserted anywhere

PARENT STATUTE → the Competition Act, 2002

CORE CLAIM

- PARENT STATUTE → the Competition Act, 2002
- FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

MECHANISM

- APPEAL → National Company Law Appellate Tribunal, then the Supreme Court
- OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CONSEQUENCE / LIMIT

- BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
- PARENT STATUTE → the Competition Act, 2002

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → no case, party, penalty amount or order date is asserted anywhere.

06

STAGE 06

COMPETITION REGULATOR CARD

COMPETITION REGULATOR CARD

PARENT STATUTE

THE COMPETITION ACT, 2002

ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT

OFFICIAL PURPOSE

AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH

NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PARENT STATUTE → the Competition Act, 2002	APPEAL → National Company Law Appellate Tribunal, then the Supreme Court	BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations	OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth	PARENT STATUTE → the Competition Act, 2002

CORE CLAIM

PARENT STATUTE → the Competition Act, 2002

FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

MECHANISM

APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CONSEQUENCE / LIMIT

BOUNDARY → no case, party, penalty amount or order date is asserted anywhere

PARENT STATUTE → the Competition Act, 2002

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → no case, party, penalty amount or order date is asserted anywhere.

07

STAGE 07

DOMINANCE AGAINST ABUSE

DOMINANCE AGAINST ABUSE

HOLDING A DOMINANT POSITION IN A DEFINED RELEVANT MARKET

PREDATORY OR UNFAIR PRICING; UNFAIR OR DISCRIMINATORY CONDITIONS

LIMITING PRODUCTION OR TECHNICAL DEVELOPMENT; DENIAL OF MARKET ACCESS

TYING AND BUNDLING; LEVERAGING DOMINANCE INTO AN ADJACENT MARKET

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LAWFUL → holding a dominant position in a defined relevant market	UNLAWFUL → limiting production or technical development; denial of market access	LAWFUL → holding a dominant position in a defined relevant market
UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions	UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market	UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

CORE CLAIM

LAWFUL → holding a dominant position in a defined relevant market

UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

MECHANISM

UNLAWFUL → limiting production or technical development; denial of market access

UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

CONSEQUENCE / LIMIT

LAWFUL → holding a dominant position in a defined relevant market

UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market.

08

STAGE 08

TWO REGULATORY CLOCKS

TWO REGULATORY CLOCKS

SECTOR REGULATOR

LICENCES, TARIFFS, TECHNICAL STANDARDS, ENTRY CONDITIONS

COMPETITION REGULATOR

CONDUCT ACROSS THE WHOLE ECONOMY AFTER THE EVENT

A GENUINE JURISDICTIONAL QUESTION, NOT AN OVERSIGHT IN THE

REMEDIES ARRIVE AFTER THE MARKET STRUCTURE HAS ALREADY SHIFTED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions	OVERLAP → a genuine jurisdictional question, not an oversight in the design	SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event	LIMIT → remedies arrive after the market structure has already shifted	COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

CORE CLAIM

SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions

COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

MECHANISM

OVERLAP → a genuine jurisdictional question, not an oversight in the design

LIMIT → remedies arrive after the market structure has already shifted

CONSEQUENCE / LIMIT

SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions

COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → remedies arrive after the market structure has already shifted.

09

STAGE 09

TRIBUNAL REFORM TIMELINE

TRIBUNAL REFORM TIMELINE

THE TRIBUNALS REFORMS ACT ABOLISHES NAMED APPELLATE BODIES, FUNCTIONS

19 NOVEMBER 2025

2025 INSC 1330 INVALIDATES FOUR HEADS OF RE-ENACTED PROVISIONS

SAME JUDGMENT

EARLIER MADRAS BAR ASSOCIATION STANDARDS MADE CONTROLLING

A NATIONAL TRIBUNALS COMMISSION DIRECTED WITHIN FOUR MONTHS

9 MARCH 2026

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT → earlier Madras Bar Association standards made controlling

SAME JUDGMENT → a National Tribunals Commission directed within four months

9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts	SAME JUDGMENT → a National Tribunals Commission directed within four months	CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from...
19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions	9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026	
SAME JUDGMENT → earlier Madras Bar Association standards made controlling	13 AUGUST 2026 → no establishment notification located; implementation unresolved	

CORE CLAIM

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT → earlier Madras Bar Association standards made controlling

MECHANISM

SAME JUDGMENT → a National Tribunals Commission directed within four months

9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

13 AUGUST 2026 → no establishment notification located; implementation unresolved

CONSEQUENCE / LIMIT

CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from...

